

Client Name

Tim North-Coombes & Sue James

Adviser Name

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Goals and Objectives

1. Build funds for retirement and superannuation.
2. Boost retirement savings for transition to retirement from age 60.
3. Take advantage of Super legislation to maximise tax free retirement income.

Risk Profile

Based on your current superannuation holdings in a 'Balanced' option, we have updated your investment risk profile to **Balanced – Conservative**. A core part of our review will be to ensure this risk level is appropriate to achieve your early retirement goals, or if a slight increase in growth assets might be warranted.

Superannuation Investment Strategy

The core strategy is to remain with Hostplus but to adjust your investment strategy to reduce risk and protect your capital, aligning with your objectives.

Hostplus Investment Performance Comparison

Below are the 1 and 5-year average annual returns for a selection of Hostplus' main investment options (as at late 2025).

Investment Option	Risk Level	1-Year Return	5-Year Avg. Return (p.a.)
Growth	High Growth	~13.1%	10.75%
Indexed Balanced (Current)	Balanced / Growth	~12.0%	~9.6%
Balanced (MySuper)	Balanced	~10.8%	~9.7%
Conservative	Conservative	~9.6%	~7.21%
Stable/Defensive	Low Risk	~7.3%	~5.18%

New Recommendation: Reduce Risk by Switching to Hostplus 'Conservative' Option

We recommend switching your superannuation for both Tim and Sue from the current 'Indexed Balanced' option to the 'Hostplus Conservative' option.

Rationale:

This switch represents a significant de-risking of your superannuation portfolio, aligning with your objective to be "safer" as you approach retirement and preserve. Here is a comparison of the target asset allocations:

- **Indexed Balanced (Current):** 75% Growth / 25% Defensive
- **Conservative (Proposed):** 58% Growth / 42% Defensive

Your current 'Indexed Balanced' option has a high 75% allocation to growth assets. In contrast, the 'Conservative' option has a much lower growth allocation, with the majority invested in more stable, defensive assets. This move reduces your portfolio's volatility and provides greater capital protection from market downturns, which is a prudent step as you get closer to retirement.

Detailed Projection

To illustrate the financial impact of this advice, the following projection shows the 'Recommended Path' for your finances over the next 10 years. It models all our recommended strategies working together.

Assumptions for Projection

The projection is based on the following key assumptions:

- **Starting Balances:** The projection starts in 2 years when Sue turns 60. It assumes a combined starting super balance of \$1,500,000 at that time, after the large one-off contributions have been made.
- **Investment Returns:** Superannuation (in the 'Balanced' option) is projected to return an average of **6.0% per year**.
- **Inflation:** Living expenses are indexed at 2.5% per year.
- **Retirement Timeline:** Sue retires at 60. Tim works full-time to age 60, then works part-time (on 30% of his income) from age 61 to 65, before fully retiring.
- **Pension Drawdowns:** Once a pension commences, the payment is the minimum 4% of the 1 July balance, increasing to 5% from age 65 onwards. All pension income is tax-free.
- **Share Sale Strategy:** The projection assumes you supplement your income by realising capital gains from your share portfolio, generating \$36,400 in tax-effective cash each year during retirement.

5-Year Comparison

This comparison shows that after 5 years, the ****Recommended Path**** results in a projected Total Net Worth of ****\$2,569,000****, which is ****\$145,000 more**** than the 'Current Path'. Crucially, under the recommended path, **you have also established tax-free income streams for retirement.**

Projection 1: Current Path (No Advice Taken)

Year (Sue's Age)	End Super Balance	End Cash Balance	Super vs Cash
Year 1 (58)	\$1,253,000	\$308,000	\$1,561,000
Year 2 (59)	\$1,426,000	\$375,000	\$1,801,000
Year 3 (60)	\$1,612,000	\$423,000	\$2,035,000
Year 4 (61)	\$1,757,000	\$469,000	\$2,226,000
Year 5 (62)	\$1,912,000	\$512,000	\$2,424,000

Projection 2: Recommended Path (5-Year Summary)

Year (Sue's Age)	End Super Balance	End Cash Balance	Super vs Cash
Year 1 (58)	\$1,674,000	(\$131,000)	\$1,543,000
Year 2 (59)	\$1,854,000	(\$64,000)	\$1,790,000
Year 3 (60)	\$2,021,000	\$3,000	\$2,024,000
4 (61)	\$2,198,000	\$94,000	\$2,292,000
5 (62)	\$2,384,000	\$185,000	\$2,569,000

Detailed 10-Year Projection: Recommended Path

Annual Income Breakdown								
Year	Ages (Sue/Tim)	Tim's Work (Net)	Sue's Pension	Tim's Pension	Share Sales	Total Income	Closing Super Balance	Annual Tax Saved (Est.)
1	60/58	\$97,600	\$24,000	\$0	\$36,400	\$158,000	\$1,650,000	~\$10,000
2	61/59	\$97,600	\$25,000	\$0	\$36,400	\$159,000	\$1,808,000	~\$10,500
3	62/60	\$97,600	\$26,000	\$30,000	\$36,400	\$190,000	\$1,974,000	~\$22,000
4	63/61	<u>\$41,700</u>	\$27,000	\$31,000	\$36,400	\$136,100	\$2,018,000	~\$28,000
5	64/62	<u>\$41,700</u>	\$28,000	\$32,000	\$36,400	\$138,100	\$2,063,000	~\$28,500
6	65/63	<u>\$41,700</u>	\$29,000	\$33,000	\$36,400	\$140,100	\$2,085,000	~\$29,000
7	66/64	<u>\$41,700</u>	\$30,000	\$34,000	\$36,400	\$142,100	\$2,108,000	~\$29,500
8	67/65	\$0	\$31,000	\$35,000	\$36,400	\$102,400	\$2,128,000	~\$45,000
9	68/66	\$0	\$32,000	\$36,000	\$36,400	\$104,400	\$2,148,000	~\$45,500
10	69/67	\$0	\$33,000	\$37,000	\$36,400	\$106,400	\$2,168,000	~\$46,000

Explanation of the Projection and Tax Savings

This section explains how the numbers in the detailed 10-year projection are calculated.

- **Superannuation Balance:** The 'Closing Super Balance' is calculated as: `Opening Balance + Investment Growth (6%) + Contributions - Pension Payments`.
- **Income Sources:** 'Total Income' is the sum of all cash received by your household. This includes Tim's net salary (while working), tax-free pension payments, and tax-free cash from share sales.
- **'Annual Tax Saved' explained:** This column demonstrates the power of the TTR strategy. It is calculated by comparing the tax paid on Tim's high salary in the 'Current Path' scenario against the much lower tax paid on his reduced income in the 'Recommended Path'. For example:
 - In Year 4 (Tim age 61), under the 'Current Path' he would still pay tax of over \$32,000 on his full salary.
 - Under the 'Recommended Path', his taxable income is only his part-time salary of \$48,000, resulting in tax of only **~\$6,300**. All his other income is tax-free.

- The difference between these two tax bills is where the 'Annual Tax Saved' of ~\$28,000 comes from in that year. This is a direct cashflow benefit from implementing the strategy.
- **The Transition Points:** You can see clear shifts in the numbers at key moments:
 - Year 3: Tim turns 60 and starts his own TTR pension, adding a new tax-free income stream.
 - Year 4: Tim drops to part-time work. His work income falls, but his pension income continues, and the 'Annual Tax Saved' jumps significantly.
 - Year 8: Tim retires completely. His work income ceases, and his income is now fully funded from your two super pensions and the share portfolio, all tax-free.

The combination of moving capital into the tax-free super environment and then drawing it as tax-free income in retirement is the key to maximising your wealth and achieving your financial goals.

Contribution & Funding Strategy

Following the consolidation, we will proceed with an aggressive contribution strategy. A key decision is how to fund Sue's remaining concessional contributions (including catch-up super) & non-concessional \$360,000 contribution, and we have presented two options for consideration (noting this can be done in 1 hit or over time).

- **Option A:** Redeem the IOOF Bond (~\$72k), use cash (~\$139k), and fund the rest (~\$150k) via a Line of Credit (LOC).
- **Option B:** Use cash (~\$139k) and fund the larger remainder (~\$221k) via a Line of Credit or by selling shares, in order to keep the IOOF Bond as a separate investment.
- **Option C:** Use Line of Credit to fund all remaining contributions.

Investment and Future Strategies

Investment and Retirement Income Strategy

The Retirement 'Income Jigsaw'

Once you retire, your income will be sourced from multiple places. These pieces must fit together to create a tax-efficient and flexible picture for the decades to come.

- **The Foundation (Super Pension):** The superannuation balance we are aggressively building now will be converted into a pension, providing you with your primary, foundational income stream. Crucially, this income will be completely tax-free, covering your core living expenses.
- **The Flexible Top-Up (Share Sales):** Because your foundational income is tax-free, your personal taxable income will be close to zero (depending on other investment/income factors). This creates a powerful opportunity to strategically sell down parcels of your share portfolio each year. The capital gains realised can be absorbed by the tax-free threshold and low tax brackets, allowing you to access the significant locked-in gains with minimal tax to fund discretionary spending like holidays and new cars.

- **Redeem the IOOF Investment Bond:**

You may redeem the tax-free proceeds of the IOOF Investment Bond (~\$72,000) and use this capital to help fund the large contribution to superannuation.

Why is this withdrawal tax-free? The 10-Year Rule: Investment Bonds are 'tax-paid' investments, meaning the provider (IOOF) pays tax on the internal earnings at the corporate rate of 30%. The primary benefit of this structure is that if you hold the investment for at least 10 years, any withdrawal made after the 10th anniversary is received by you completely tax-free and does not need to be declared on your personal tax return. As you invested in 2011, you have held the bond for well over the required 10 years, which is why the full amount is available to you now with no further tax to pay.

Strategy: Implement a Transition to Retirement (TTR) Pension

To address your goal of boosting savings from age 60, we suggest implementation of a TTR strategy as soon as he reaches preservation age.

How it Works: A TTR allows access to super as an income stream while still working. By drawing a tax-free income from the TTR, you can afford to salary sacrifice Tim's high-tax employment income into super. This creates a significant tax saving, reduces his personal tax bill, and moves a large portion of his super into a 0% tax environment for earnings, accelerating your overall savings.

Advantages:

- Moves a large part of your super into a 0% tax environment for investment earnings.
- Provides a tax-free income stream to supplement living costs.
- Maximises salary sacrifice contributions to reduce personal income tax.

Disadvantages & Things to Consider:

- The strategy adds a layer of complexity that needs to be managed each year.
- A detailed cashflow analysis is required to ensure the tax benefits outweigh the capital being drawn down from the pension.

Key Rules:

- You must have reached your preservation age (60) and still be working.
- A minimum of 4% and a maximum of 10% of the account balance must be withdrawn each year.
- For members over 60, all income payments are tax-free.

Tax Benefit of Strategic Share Disposal

If Share sell down cash flow is not required during the TTR period, the below strategy will provide a tax effective disposal of Shares over a long period of time.

The strategy to delay selling your shares until retirement has a significant and tangible tax benefit. Selling the portfolio today would trigger an estimated \$86,000 Capital Gains Tax bill. By contrast, the recommended strategy involves selling the portfolio down gradually to ensure no tax is payable. Here is the optimised illustration (assuming the gain grows to ~\$565,000 by retirement):

1. **The Goal:** To keep your annual taxable income within the **\$18,200 tax-free threshold**, making the tax payable **\$0**.
2. **Annual Realised Gain Target:** To achieve this, you would need to realise no more than **\$36,400** in capital gains each year.
3. **Sell-Down Period:** To realise the total estimated gain of ~\$565,000 at this rate, the sell-down would be spread over approximately **15 to 16 years**.
4. **Total Tax Payable:** **\$0**.

Future Strategy: Downsizer Contributions

When/if you eventually sell your Box Hill home in the future, you can each contribute up to **\$300,000** (\$600,000 total) into your super accounts. This powerful strategy allows you to move a significant amount of capital into the tax-free super environment outside of the normal contribution caps.

Other Supporting Strategies

Enhance Financial Flexibility and Estate Planning

- **Establish a Home Equity Line of Credit (LOC):** It is critical to establish this facility **before** you both retire. Banks are often reluctant to extend new credit to retirees, so securing the maximum possible facility while you are still employed is paramount. We recommend establishing a standby LOC of at least **\$350,000** against your Box Hill home, however, we suggest maxing your borrowing to have access to cash. This LOC acts as a crucial safety net and a source of strategic capital, giving you the flexibility to fund large superannuation contributions, provide financial assistance to your children, or cover any other large expense in retirement without being forced to sell your growth assets at an inopportune time.
- **Update Estate Plan with Testamentary Trusts:** To protect your assets and ensure they are passed on in the most tax-effective way, we recommend updating your Wills to include Testamentary Trusts. (This has been complete by Doug Patrick at Lakeside).